Planning in India

Introduction :

- Constitution came into force – 26th January 1950
- 15th March 1950 – Setting up of Planning Commission
- Launching of the First 5-year Plan – 1951-56
- Successful Completion of 12 Five Year Plans until 2017
- Change in the Structure of Planning Commission
- Now it is “Niti Ayog” (Since 1st January 2015)

What is Plan, as per Planning Commission

- Spelling out how the resources of a Nation should be put to use
- General Goals as well as Specific Objectives, which are to be achieved within a specific period of time
- After Independence, India was in a dire need to start acting soon
- Problems necessitating the need for an immediate plan : Poverty, Foreign Trade, Rapid Industrialization, Population, Development of Natural Resources, Capital Deficiency, Market Imperfections

Objectives of Planning

- Central Objective – raise the standard of living of the people
- Increase GDP Per Capita and National Income
- Growth with Social Justice
- Higher Level of Employment
- Increase Industrial Output
- Removing Bottlenecks in Agriculture and Manufacturing Industry
- Reduction of Inequality in Income
- Modernization
- Self-Reliance

Characteristics of Planning

- Major economic decisions are determined by a Central Authority, through the Planning Commission
- The Government will have the power of Implementation
- The Planners fix the targets for the Sectors and also decide how much Investment must be made in each sector to achieve the targets

Planning Commission in India

- Set up by the Government of India in March 1950
- Make an Assessment of material capital and human resources of the country
- And formulate a plan for the most effective and balanced utilization of them
- Determine priorities and define the stages for carrying the plan and propose the allocation of resources for the due completion of each stage
- Act as an Advisory Body of the Union Government

- Determine the conditions which (in view of the current socio-political conditions) should be established for execution of the plan
- Advise the Centre and State Governments

National Development Council (NDC)

- All plans made by the Planning Commission should first be approved by the NDC
- It was constituted to build cooperation between States and the Planning Commission
- NDC (like the Planning Commission) is also an extra-constitutional legal body
- Set up on 6th August 1952
- State Planning Board is Apex Planning Body at the State Level with :

a. Chief Minister as Chairman

b. Finance and Planning Ministers of the State

c. Some Technical Members

- District Planning Committee is also there comprising :
- Official and Non-official members